

A Comparative Study of Impact of Mobile Payment Apps on Youth with Reference to Google Pay and PhonePe

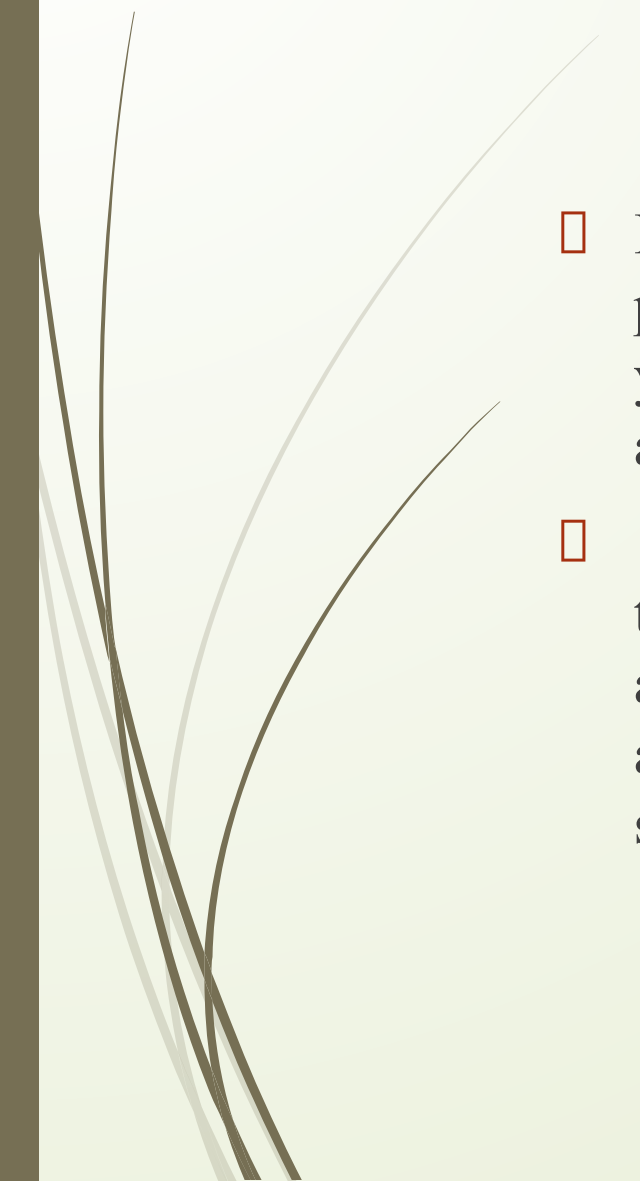
By

Ayesha Bamahdi

Roll Number - 22160



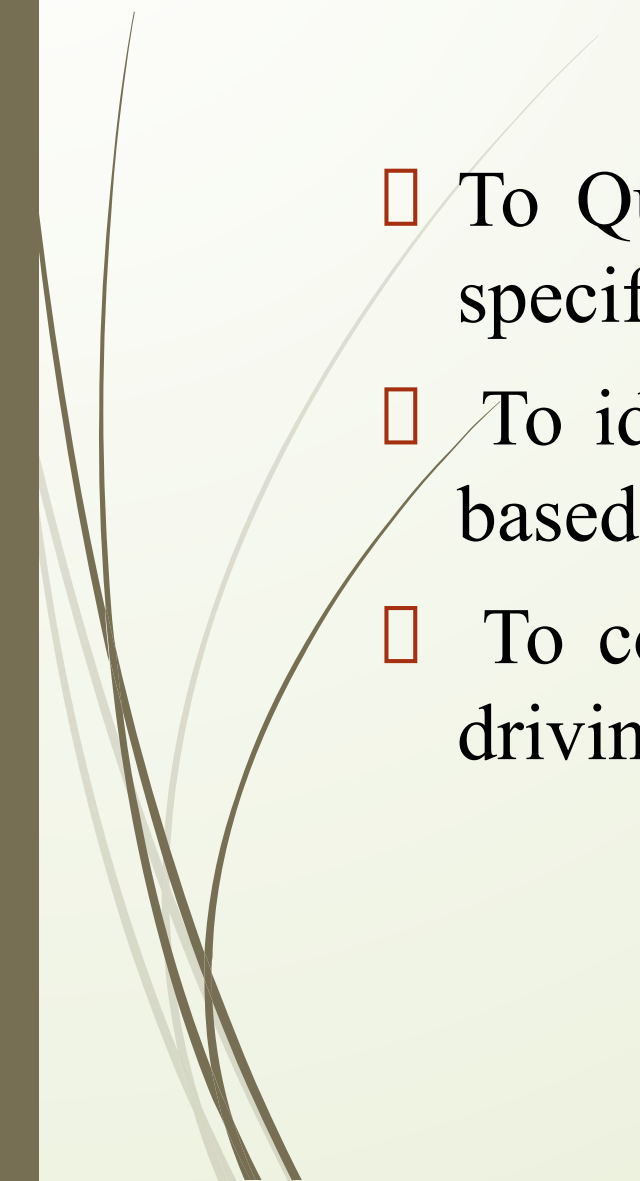
Introduction



- In today's digital world, smartphone payment apps have changed how people handle money, especially young people. This study looks at how young people use Google Pay and PhonePe, two popular mobile payment apps.
- It examines trends in how these apps are adopted, what motivates people to use them, and what challenges they face. By analyzing survey data from a diverse group of young users, the study aims to find out why these apps are being used and how they affect financial habits like saving and spending.



Objectives of the Study

- ❑ To Quantify the impact of mobile payment apps on specific financial behavior .
 - ❑ To identify key motivators and barriers for adoption based on user segments.
 - ❑ To compare the effectiveness of specific features in driving financial inclusion and literacy.
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SCOPE OF THE STUDY

- This project will mainly look at young people, who are between 18 and 35 years old.
- This research will only look at how two popular mobile payment apps, Google Pay and PhonePe, affect young people's money habits
- This research will measure and study certain money habits that are affected by using mobile payment apps. This includes how people spend money, save money, and what they understand about managing money, especially among young users.
- This study will compare and check how well certain features in Google Pay and PhonePe help young people understand and manage their money better.

LIMITATIONS OF THE STUDY

- ❑ The results of this study could be affected by the number of participants and how well they represent the larger group
- ❑ The fast changes in technology and what people like might make it hard to get up-to-date information. The results of this study might only show how people are using mobile payment apps at one time, so they might not apply to the future.
- ❑ Using surveys or interviews where people report on themselves might cause some problems.
- ❑ This study is conducted only in Telangana, so the results might not apply to other places with different social, cultural, or rules.



INDUSTRY PROFILE AND COMPANY PROFILE

- The digital payments market in India was valued at \$3 trillion in 2022 and is projected to grow at a compound annual growth rate (CAGR) of 26.2%, reaching \$7.8 trillion by 2027 (Finextra, 2023).
- **Google Pay:** Google Pay has leveraged its user-friendly interface and integration with Google services to capture a significant market share.
- **PhonePe:** PhonePe, backed by Flipkart and Walmart, has emerged as a dominant player with a broad range of services.

Findings

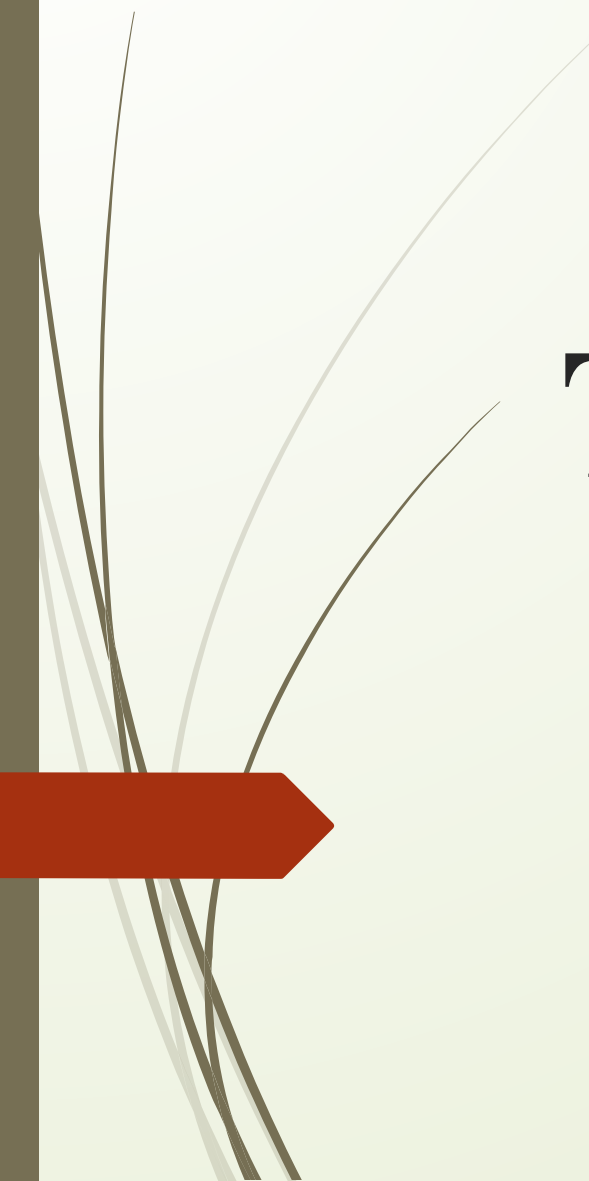
- 1. Users perceive Google Pay and PhonePe differently :** There is a significant difference in how users perceive Google Pay and PhonePe in terms of trust and brand reputation (Hypothesis 2). (Reference: Barrier 2 section)
- 2. Impact on financial Behavior :** Google Pay and PhonePe influence distinct financial behaviour among youth, with significant differences noted in spending and savings habits (Reference: Hypothesis 1 and related sections) (*coefficient is statistically significant, p -value = 0.000675*)
- 3. Motivators for adoption:** Convenience and speed are primary motivators for both Google Pay and PhonePe users, though PhonePe users show a slightly stronger preference in this regard (*Google Pay -32 positive responses, PhonePe - 43 Positive responses*)(Reference: Motivator 1 section)
- 4. Social influence on adoption:** Friends and family exert a notable influence on the adoption of both Google Pay and PhonePe , with a stronger effect observed among PhonePe users ((Reference: Motivator 2 section). (*Google Pay -28 positive responses, PhonePe - 36 Positive responses*)(Reference: Motivator 1 section)

Conclusion

- Firstly, The study firstly clarifies that Google Pay and PhonePe have observable effects on young people's spending habits
- Secondly, motivators and barriers to using mobile payment apps emerged to be vital elements in affecting user preferences. Peer pressure, speed, and convenience were found to be the main drivers that greatly influenced adoption rates
- Finally, , the study emphasizes the larger impact of mobile payment technology on financial inclusion and literacy.

Recommendations

- Firstly, mobile payment app providers must strengthen security measures and effectively convey these advances to users. Given that security concerns are a major impediment to adoption, establishing robust security mechanisms and frequently updating them might help to increase user trust. Furthermore, app providers should proactively educate users about these security features via in-app notifications, emails, and social media ads.
- Second, in order in order to enhance an extensive user base, mobile payment apps should include more tailored and targeted financial education tools. Because the study found various levels of engagement with instructional aids, apps may include adaptive learning systems that adjust information to specific user requirements and preferences.
- Finally, Friends and family play an important role in encouraging app adoption, thus incorporating social features like referral programs, peer-to-peer payment challenges, and social media sharing choices can increase this effect.



Thank you!